

EUR/USD London Session Trading Strategy

Overview

This document provides a structured, professional trading plan for EUR/USD during the London session. It is designed for breakout–retest style traders seeking consistent 8–15 pip profits with controlled risk.

1. Session Timing

London Session (Indian Time): 12:30 PM – 3:00 PM IST. This window provides strong momentum, clean breakouts, and institutional price movement.

2. Chart Setup

Use 15-minute charts to mark structure and major levels. Use 5-minute charts for precise entries and confirmation.

3. Pre-Market Steps (12:00–12:25 PM IST)

- Mark the Asian Session High and Low (5:30 AM – 11:30 AM IST).
- Identify support and resistance zones.
- Note the prevailing 15m trend structure (HH/HL or LH/LL).

4. High-Probability Setups

A. Breakout → Retest → Continuation

- Wait for a 15m candle to close outside the Asian range.
- Let price retest the breakout level.
- Enter on 5m confirmation (engulfing, rejection wick, or structure shift).

B. Liquidity Grab → Reversal → Retest

- Price wicks above/below the Asian range without closing outside.
- This sweep often precedes a reversal.
- Enter on a retest of the swept level.

5. Risk Management

Stop-Loss: 8–12 pips.

Risk per trade: ■300–■500.

Lot size: 0.05–0.10 once comfortable. Start with 0.02.

6. Take-Profit Plan

Target: 10–15 pips.

For 0.10 lot, 10 pips $\approx$ \$10 $\approx$ ■830; 15 pips $\approx$ ■1,250. This aligns with the daily goal of ■1,000–■1,500.

7. News Filter

Avoid high-impact EUR or USD news during 1:30 PM and 2:30 PM IST releases. Volatility during news can invalidate technical setups.

8. Daily Trading Routine

- 12:00–12:20 PM: Mark Asian range and key levels.
- 12:20–12:30 PM: Assess structure and wait for volume.
- 12:30–1:30 PM: Trade breakout or liquidity grab setup.
- Stop trading after hitting daily target.

9. Key Rules to Follow

- Never enter before candle closes beyond a level.
- Always wait for confirmation on retest.
- Take only high-quality setups (1–2/day).
- Stop trading after profit target is reached.
- Avoid revenge trading.

Conclusion

This structured methodology provides a consistent, low-stress approach to trading EUR/USD during London session. Focus on clean levels, retests, and disciplined risk management for steady results.